

Algorithmic Trading

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _CRR firm_ that engages in _algorithmic trading_.

1.2

2.4 and 2.5 apply to a _CRR firm_ that provides the services of _direct electronic access_ to a _trading venue_.

1.3

In this Part, the following definitions shall apply:

algorithmic trading

means trading in _financial instruments_ where a computer algorithm automatically determines individual parameters of orders such as whether to initiate the order, the timing, price or quantity of the order or how to manage the order after its submission, with limited or no human intervention, and does not include any system that is only used for the purpose of routing orders to one or more _trading venues_ or for the processing of orders involving no determination of any trading parameters or for the confirmation of orders or the post-trade processing of executed transactions.

direct electronic access

means an arrangement where a member or participant or _client_ of a _trading venue_ permits a _person_ to use its trading code so the _person_ can electronically transmit orders relating to a _financial instrument_ directly to the _trading venue_ and includes arrangements which involve the use by a _person_ of the infrastructure of the member or participant or _client_, or any connecting system provided by the member or participant or _client_, to transmit the orders (direct market access) and arrangements where such an infrastructure is not used by a _person_ (sponsored access).

trading venue

means a _regulated market_, an _MTF_ or an _OTF_.

1.4

[Deleted.]

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Algorithmic Trading

2.1

A _firm_ must have in place effective systems and risk controls, suitable to the business it operates, to ensure that its trading systems:

1. (1) are resilient and have sufficient capacity;
2. (2) are subject to appropriate trading thresholds and limits; and
3. (3) prevent the sending of erroneous orders, or the systems otherwise functioning in a way that may create or contribute to a disorderly market.

[Note: Art. 17(1) of _MiFID II_]

2.2

A _firm_ must:

1. (1) have in place effective business continuity arrangements to deal with any failure of its trading systems; and
2. (2) ensure that its systems are fully tested and properly monitored to ensure they meet the requirements of (1) and 2.1.

[Note: Art. 17(1) of _MiFID II_]

2.3

A _firm_ must make and retain the following records:

1. (1) a description of the nature of its _algorithmic trading_ strategies;
2. (2) details of the trading parameters or limits to which the _firm?s_ system is subject;
3. (3) evidence that 2.1 and 2.2 are met;
4. (4) details of the approach to testing of the _firm?s_ systems;
5. (5) the information obtained in performing, the outcome of, and any actions taken as a result of, each test of the _firm?s_ systems; and
6. (6) any further relevant information about the _firm?s_ _algorithmic trading_ and systems used for that trading.

[Note: Article 17(2) of _MiFID II_. See Articles 28 and 29 of Commission Delegated Regulation (EU) No 2017/589 of 19 July 2016 supplementing MiFID II with regard to regulatory technical standards specifying the organisational requirements of investment firms engaged in algorithmic trading, providing direct electronic access and acting as general clearing members for related provisions.]

2.4

A _firm_ that provides _direct electronic access_ to a _trading venue_ must have in place:

1. (1) systems and controls that enable it to assess and review the suitability of _clients_ using the service of _direct electronic access_ to a _trading venue_;
2. (2) systems and controls that prevent _clients_ using the service from exceeding appropriate pre-set trading and credit thresholds; and
3. (3) appropriate systems and controls that prevent trading by _clients_ which may create risks to the _firm_.

[Note: Art. 17(5) of _MiFID II_]

2.5

A _firm_ that provides _direct electronic access_ to a _trading venue_ must make and retain the following records if it provides _direct electronic access_ services:

1. (1) a description of the systems and controls in 2.4;
2. (2) evidence that those systems and controls have been applied; and
3. (3) on other relevant matters referred to in 2.4 in relation to systems and controls.

[Note: Art. 17(5) of _MiFID II_]